practice I have rarely followed, and then only when I had an unusually strong conviction that the next important move for one or more of my stocks would be sharply downward. Nevertheless, in the face of this conviction, I urged my clients to maintain their holdings, in the belief that some years ahead both stocks would rise to very much higher levels. When the correction in values came for these two stocks, it proved even more severe than I had anticipated. Texas Instruments at its subsequent bottom sold off 80 percent from its 1962 peak. Central California Electronics did not perform quite so badly, but still sold off by almost 60 percent. My beliefs were being tested in the extreme!

However, within a few years Texas Instruments was once again selling at new high levels more than double its 1962 high. Patience had paid off here. Central California Electronics' performance was not a happy one. As the general stock market started to recover, problems within the management of Central California Electronics became apparent. Changes in personnel occurred. I became quite worried and made what I believe was a thorough investigation. I reached two conclusions and neither one pleased me. One was that I had misjudged the former management. I should have been more aware of its deficiencies, yet wasn't. Neither could I be sufficiently enthusiastic about the new management to warrant continuing to hold the shares. I consequently sold these holdings in the following twelve-month period at a price only slightly better than half of the 1962 peak. Even so, my clients, depending on the applicable purchase price, gained from seven to ten times the original cost.

As I have already indicated, I am deliberately citing a weak example rather than a dramatic one to illustrate why I believe it pays to ignore near-term fluctuations in situations that hold real promise. My error in the Central California Electronics instance was not in holding the shares through a temporary decline, but in something far more important. I had grown too complacent as a result of the enormous success of my investments in this company. I began paying too much attention to what I was hearing from top management and not doing sufficient checking with people at lower levels and with customers. When I recognized the situation and acted upon it, I was then able to make the same kind of gains I had expected to make in Central California Electronics by switching these funds to other electronic companies, chiefly Motorola, which fortunately rose in the next few years